CHAPTER 16

H O U S I N G A N D C O N S T R U C T I O N T O D A Y

The construction industry is an effective stimulant to a wide range of other economic activities since a large portion of its costs are paid out in direct wages and salaries and since most of the building materials and installations, because of their bulk, are typically produced locally. Although local production of building materials and installations has not been as dominant in Palestine as is common elsewhere, the construction industry has played a very important role in the Palestinian economy, more particularly in the economy of the Jewish community. This is an obvious consequence of a rapidly expanding population, with western standards, settling amidst the stagnation of the Middle East.

PREWAR HOUSING AND CONSTRUCTION

Volume of Construction Activity

The General Federation of Jewish Labour (Histadruth) early in the twenties realized the necessity of devoting very considerable resources to building and construction. It utilized this necessity to absorb the new immigrants into the economy by employing them in construction. To this end, it organized its own contract construction company, Solel Boneh, to train workers and promote public works as a form of work relief.

The record of the relative number of Jewish workmen employed indicates the community's extreme preoccupation with building and construction needs:

Year	Jewish workmen employed on building	Percent of all Jewish workmen
1925	7800	43.0
1926-27	4500	34.2
1932	3000	10.9
1933	7000	16.7
1935	16500	19.4
1936	10-11000	10-11

Source: "Building as a Factor in Jewish Economy in Palestine" by Fritz Naphtali in Housing in Jewish Palestine, Economic Research Institute of the Jewish Agency, Jerusalem, 1938, p. 145